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Standard Chartered Q3 Earnings Note

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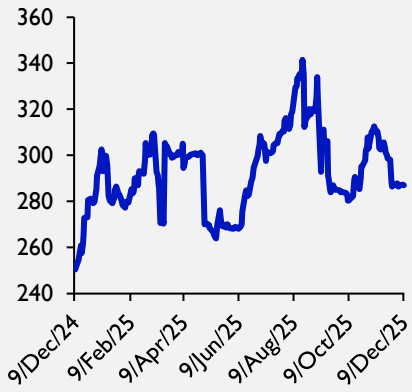


Standard Chartered Bank Q3'25 Earnings Note

10th December 2025

Ticker Information	
NSE Code:	SCBK
Issued Shares (Bn):	0.38
52-week high:	KES 347.50
52-week low:	KES 134.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(6.7%)	(7.5%)	1.7%	14.7%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
SELL	**KES 287.00**	**KES 266.04**

Summary

- **Standard Chartered Bank Kenya recorded a 38.2% y/y decline in Profit After Tax in Q3'2025, coming in at KES 9.79 Bn**. This performance is attributable to softening revenues and a one off employee past service cost of KES 2.7 Bn following the Supreme Court ruling on 5th September 2025 and the Retirement Benefits Appeal Tribunal (RBAT) orders, which was booked in the income statement. Core banking activities slowed due to a decline in transaction services, personal loans, and mortgage loans. Additionally, customer deposits slid 0.3% y/y on account of reduced customer balances. On a brighter note, the lender demonstrated prudent loan book management, which saw Gross Non Performing Loans soften to KES 9.13 Bn from KES 12.14 Bn

Key Highlights

- **Earnings Mix**: Interest income declined 13.5% y/y to KES 25.14 Bn. This was driven by a 21.4% y/y drop in interest from loans and advances, which came in at KES 13.62 Bn, attributable to falling interest rates and a contraction of the loan book. To offset weaker revenue from loans and advances, the lender increased allocation to government securities, resulting in a 30.5% y/y rise in interest income from government securities to KES 8.71 Bn, in line with a 42.9% y/y increase in holdings. Interest from placements fell sharply by 44.5% y/y to KES 2.80 Bn. On the expense side, interest expense declined 32.0% y/y to KES 2.86 Bn, linked to an 18.3% y/y reduction in interest on customer deposits as interest rates continued to decline. Net interest income therefore fell 10.3% y/y to KES 22.27 Bn. On the non funded side, net non interest income slid 28.6% y/y to KES 10.16 Bn, mainly due to a 58.9% y/y drop in FX trading income as the Kenya shilling remained stable, compressing margins and lowering transaction volumes. This trend has persisted across the banking sector through the year. Other income grew 11.8% y/y to KES 2.30 Bn as the bank continued to expand its wealth management business. A one off cost of KES 2.7 Bn was booked in the income statement following the Supreme Court ruling, pushing staff costs up 32.1% y/y to KES 9.12 Bn and ultimately driving operating expenses 15.8% y/y higher to KES 19.23 Bn.
- **Asset Quality:** Non-Performing Loans declined to KES 9.13 Bn from KES 12.14 Bn. Consequently, provisions were trimmed 28.7% y/y to KES 4.24 Bn. The Net NPL ratio improved by 1.3% points to 3.8%.

Balance Sheet Dynamics

Total assets grew 3.6% y/y to KES 384.43 Bn, driven mainly by a 42.9% y/y increase in government securities to KES 96.97 Bn as the lender sought higher yielding government assets amid slowing loan growth. Loans and advances declined 3.2% y/y to KES 146.40 Bn due to lower transaction services, personal loans, and mortgage loans. Cash and balances increased 10.4% y/y to KES 23.28 Bn. On the liabilities side, total liabilities grew 5.3% y/y to KES 320.66 Bn. We noted a significant 1614.5% y/y jump in placements to KES 6.18 Bn as the main driver of liability growth. In contrast, customer deposits declined 0.3% y/y to KES 283.43 Bn due to lower customer balances. CASA accounted for 97.0% of total deposits

Outlook

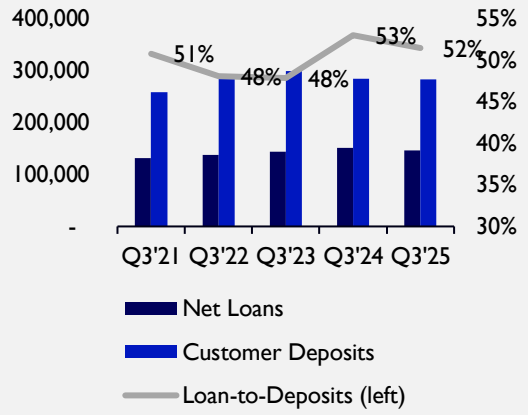
Stanchart's revenues have dipped from both funded and non-funded perspectives. Earlier in the year, we anticipated pressure on funded income due to declining interest rates, and this has materialized. Interest rates are expected to be on a downward trajectory in 2026, which means margins will remain squeezed. As the bank's corporate-focused model recorded lower transaction volumes, we believe there is a need for more competitive positioning to support revenue growth and sustain long-term profitability through intensified lending, which would lift interest income. The non-funded side was heavily affected by the stable Kenya shilling, which has compressed FX trading margins, a trend expected to continue into 2026. The lender's non-funded income was also weighed down by lower transaction volumes, a scenario which has cut across the industry.

We estimate Earnings Per Share to reach KES 35.39 in 2025, significantly lower than FY 2024. As such, we expect a downgrade in FY 2025 total dividend. With an interim dividend already issued at KES 8.0, and assuming the same payout ratio as 2024, we estimate a total dividend of KES 30.0, which would take the final dividend to approximately KES 22.0 per share. We foresee earnings normalizing back to FY 2024's levels in FY 2027 as the lender intensifies lending activities. We also expect bottom-line growth to be supported by expansion in the Asset Management business.

Recommendation

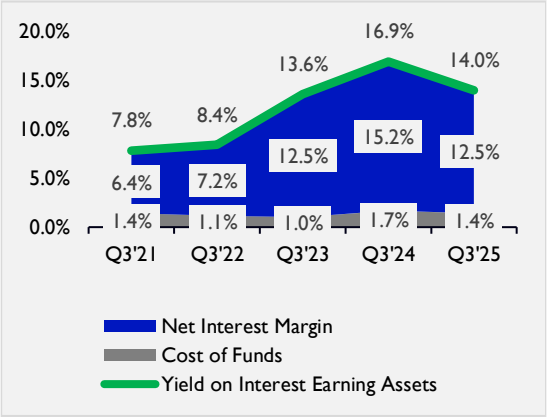
We maintain a *SELL* recommendation on Standard Chartered Bank, at current price levels, on the back of significant downside to our target price. At the current market price, the counter is trading at a P/E of 7.06x and a P/B of 1.70x. Our one-year target price is KES 266.04, representing a 7.3% downside from current levels.

Chart 2: Shrinking Loan Book



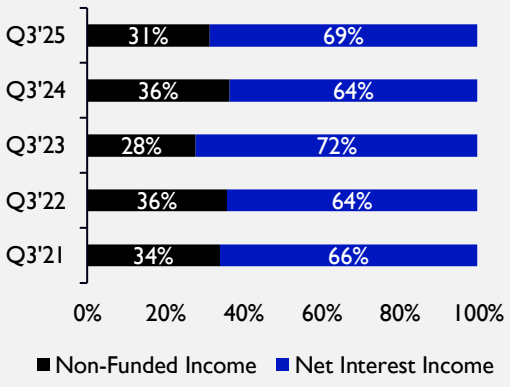
Source: Company filings, AIB-AXYS Research.

Chart 3: Narrowing Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Chart 4: Revenue Contributions by Source



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Net Interest Income	14,712.00	15,784.06	21,230.21	24,838.66	22,272.26	▼ (10.3%)
Net non-Interest Income	7,560.36	8,778.30	8,202.13	14,230.72	10,157.28	▼ (28.6%)
Total Operating income	22,272.37	24,562.37	29,432.34	39,069.38	32,429.54	▼ (17.0%)
Provision for Impairment	(2,681.25)	(621.02)	(1,821.90)	(1,957.62)	(1,744.39)	▼ (10.9%)
Total Operating expenses	(13,376.12)	(12,267.73)	(15,753.58)	(16,599.63)	(19,225.40)	▲ 15.8%
Profit before tax	8,896.24	12,294.63	13,678.76	22,469.75	13,204.15	▼ (41.2%)
Profit after tax	6,354.71	8,712.87	9,738.24	15,846.05	9,786.52	▼ (38.2%)
Annualized EPS	22.48	30.82	34.44	56.05	34.62	▼ (38.2%)

Balance Sheet (KES Mn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Government Securities	98,959.81	111,988.51	55,631.96	67,875.92	96,970.13	▲ 42.9%
Loans and Advances	131,744.12	138,071.60	143,570.81	151,282.20	146,395.28	▼ (3.2%)
Total Assets	**330,696.79**	**366,116.42**	**369,716.59**	**370,942.53**	**384,435.65**	▲ 3.6%
Customer Deposits	258,379.72	286,074.22	298,833.99	284,416.73	283,428.92	▼ (0.3%)
Total Liabilities	277,631.03	310,645.00	310,002.11	304,407.11	320,656.79	▲ 5.3%
Shareholder's Funds	**53,065.77**	**55,471.43**	**59,714.48**	**66,535.42**	**63,778.86**	▼ (4.1%)

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y change
Spreads Analysis						
Yield on Interest Earning Assets	7.8%	8.4%	13.6%	16.9%	14.0%	▼ (2.9%)
Cost of Funds	1.4%	1.1%	1.0%	1.7%	1.4%	▼ (0.2%)
Net Interest Margin	6.4%	7.2%	12.5%	15.2%	12.5%	▼ (2.7%)
ROaE	14.4%	20.8%	22.6%	31.2%	20.4%	▼ (10.8%)
ROaA	2.3%	3.3%	3.6%	5.4%	3.7%	▼ (1.7%)
Profit Margin	28.5%	35.5%	33.1%	40.6%	30.2%	▼ (10.4%)
Operating Efficiency						
Cost to Income Ratio (Less LLP)	48.0%	47.4%	47.3%	37.5%	53.9%	▲ 16.4%
Cost to Assets (Less LLP)	3.3%	3.3%	3.8%	4.0%	4.6%	▲ 0.7%
Loan to Deposit Ratio	51.0%	48.3%	48.0%	53.2%	51.7%	▼ (1.5%)
Asset Quality						
Net NPL Ratio	10.5%	10.5%	11.1%	5.1%	3.8%	▼ (1.3%)
NPL Coverage	82.8%	82.4%	77.1%	85.3%	85.1%	▼ (0.1%)
Cost of Risk	2.0%	0.4%	1.3%	1.3%	1.2%	▼ (0.1%)
Capital Adequecy						
Core Capital/TRWA	15.5%	15.4%	17.1%	20.9%	20.6%	▼ (0.4%)
Total Capital /TRWA	17.8%	17.7%	17.8%	21.0%	20.6%	▼ (0.4%)
Liquidity	67.4%	71.9%	66.7%	65.4%	66.6%	▲ 1.2%



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